



BAD POLITICS BAD EC



It was a budget that stunned both politicians and economists. Politicians because after four years of waffling on ideas and concepts, the Congress and its allies seemed to have found their mind and relevance. Or so it would seem by the awe it has inspired. The shock though seems to have been reserved for the economists. Without exception, the Rs 60,000-crore loan waiver is seen as the worst kind of fiscal profligacy. What makes it surprising is that it has come from the most pro-reforms duo of P. Chidambaram and Manmohan Singh. In some sense, they do seem to understand that this being the fifth budget of UPA, it had to be political and, therefore, sops were to be expected. But it isn't the waiver alone that worries them. The lack of transparency—the budget is packed with expenditure not accounted for in the numbers—and the failure of UPA to address the issue of accountability on public spending. It was not all negative though. There is appreciation about fiscal consolidation but also concern that the new spends, slowing economy and the Sixth Pay Commission could demolish the carefully-arranged image. The Board of INDIA TODAY Economists debated issues ranging from whether there was a method in the five budgets to whether the Budget will address the urgent need for growth impulse just as it had addressed the hunger for political relevance.

Is there a method in the ELECTION MANIFESTO?

Prabhu Chawla: In the past few years, a view has been gaining ground that good economics also makes good politics. But at the end of the term of any government, good economics sometimes becomes bad politics and bad economics becomes good politics. Is it a bad economics reflected through this Budget? It's almost an election manifesto. Is there a method in it?

Suman Bery: The first thing that came to my mind was to compare Chidambaram with Gordon Brown. Brown's basic strategy was to get both credibility and revenue on the basis of growth in his first few years and then start shoring up his base (Labour Party's) towards the end. Now what has complicated Brown's strategy is a global recession and turmoil just at the time when he was going to reap the benefits.

I see that as some kind of a gameplan—winning fiscal credibility in early years so that the giveaway, when it comes, does not so frighten the markets.

Ajay Shah: It is a very interesting way of looking at things. The defining difference to my mind is that Brown holds ex-